Planet Fitness, Inc.
Discounted Cash Flow Analysis
($ in thousands, fiscal year ending December 31)

Operating Scenario: Base

Operating Scenario	1										
Mid-Year Convention	Y	**Historical Period**			**CAGR**		**Projection Period**				**CAGR**
	2021	**2022**	**2023**	('21 - '23)	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	('24 - '29)
Sales	**587,023**	**936,772**	**1,071,326**	*35.1%*	**1,181,654**	**$1,299,819.4**	**$1,423,302.2**	**$1,551,399.4**	**$1,687,922.6**	**$1,836,459.8**	*9.2%*
% growth	*NA*	*59.6%*	*14.4%*		*10.3%*	*10.0%*	*9.5%*	*9.0%*	*8.8%*	*8.8%*	
Cost of Goods Sold	170,158	285,538	323,714		369,516	409,443.1	448,340.2	488,690.8	531,695.6	578,484.8	
Gross Profit	**$416,865.0**	**$651,234.0**	**$747,612.0**	*33.9%*	**$812,138.0**	**$890,376.3**	**$974,962.0**	**$1,062,708.6**	**$1,156,227.0**	**$1,257,975.0**	*9.1%*
% margin	*71.0%*	*69.5%*	*69.8%*		*68.7%*	*68.5%*	*68.5%*	*68.5%*	*68.5%*	*68.5%*	
Selling, General & Administrative	94,540	114,853	124,930		129,146	129,981.9	142,330.2	155,139.9	168,792.3	183,646.0	
EBITDA	**$322,325.0**	**$536,381.0**	**$622,682.0**	*39.0%*	**$682,992.0**	**$760,394.3**	**$832,631.8**	**$907,568.7**	**$987,434.7**	**$1,074,329.0**	*9.5%*
% margin	*54.9%*	*57.3%*	*58.1%*		*57.8%*	*58.5%*	*58.5%*	*58.5%*	*58.5%*	*58.5%*	
Depreciation & Amortization	62,800	124,022	149,413		160,346	176,342.2	193,094.7	210,473.2	228,994.8	249,146.4	
EBIT	**$259,525.0**	**$412,359.0**	**$473,269.0**	*35.0%*	**$522,646.0**	**$584,052.2**	**$639,537.1**	**$697,095.5**	**$758,439.9**	**$825,182.6**	*9.6%*
% margin	*44.2%*	*44.0%*	*44.2%*		*44.2%*	*44.9%*	*44.9%*	*44.9%*	*44.9%*	*44.9%*	
Taxes	83,048.0	131,954.9	151,446.1		144,772.9	161,782.5	177,151.8	193,095.4	210,087.8	228,575.6	
EBIAT	**$176,477.0**	**$280,404.1**	**$321,822.9**	*35.0%*	**$377,873.1**	**$422,269.7**	**$462,385.4**	**$504,000.0**	**$548,352.0**	**$596,607.0**	*9.6%*
Plus: Depreciation & Amortization	62,800.0	124,022.0	149,413.0		160,346.0	176,342.2	193,094.7	210,473.2	228,994.8	249,146.4	
Less: Capital Expenditures	(54,074)	(100,057)	(135,986)		(155,061)	(152,544.1)	(157,543.9)	(162,543.7)	(167,543.5)	(172,543.3)	
Less: Inc./(Dec.) in Net Working Capital	**36,143**	**(21,154)**	**6,877**		**(19,628)**	35,330.4	6,922.5	7,181.2	7,653.5	8,327.1	
Unlevered Free Cash Flow						**$481,398.2**	**$504,858.7**	**$559,110.7**	**$617,456.9**	**$681,537.2**	
WACC	*9.0%*										
Discount Period						0.5	1.5	2.5	3.5	4.5	
Discount Factor						0.96	0.88	0.81	0.74	0.68	
Present Value of Free Cash Flow						**$461,011.9**	**$443,397.0**	**$450,335.5**	**$456,100.3**	**$461,698.6**	

Enterprise Value	
Cumulative Present Value of FCF	**$2,272,543.2**
Terminal Value	
Terminal Year EBITDA (2029E)	$1,074,329.0
Exit Multiple	10.5
Terminal Value	**$11,269,710.9**
Discount Factor	0.65
Present Value of Terminal Value	**$7,311,212.6**
% of Enterprise Value	*76.3%*
Enterprise Value	**$9,583,755.8**

Implied Equity Value and Share Price	
Enterprise Value	$9,583,755.8
Less: Total Debt	$ 2,575,853.00
Less: Preferred Stock	$ -
Less: Noncontrolling Interest	$ 7.00
Plus: Cash and Cash Equivalents	$ 293,150.00
Implied Equity Value	**$7,301,045.8**
Fully Diluted Shares Outstanding	$ 82,980.00
Implied Share Price	**$87.99**

Implied Perpetuity Growth Rate	
Terminal Year Free Cash Flow (2029E)	$681,537.2
WACC	9.0%
Terminal Value	$11,269,710.9
Implied Perpetuity Growth Rate	**2.6%**

Implied EV/EBITDA	
Enterprise Value	$9,583,755.8
LTM EBITDA	487,710
Implied EV/EBITDA	**19.65**

Enterprise Value

CC	Exit Multiple				
	9.5x	**10.0x**	**10.5x**	**11.0x**	**11.5x**
8.0%	9251891.203	9616805.032	9981718.86	10346632.69	10711546.52
8.5%	9441857.904	9815334.22	10188810.54	10562286.85	10935763.17
9.0%	9441857.904	9815334.22	**$10,188,811**	10562286.85	10935763.17
9.5%	9251891.203	9616805.032	9981718.86	10346632.69	10711546.52
10.0%	8886786.096	9235270.969	9583755.842	9932240.714	10280725.59

Implied Perpetuity Growth Rate

CC	Exit Multiple				
	9.5x	**10.0x**	**10.5x**	**11.0x**	**11.5x**
8.0%	1.0%	1.4%	1.7%	1.9%	2.2%
8.5%	0.6%	0.9%	1.2%	1.5%	1.7%
9.0%	0.6%	0.9%	**1.2%**	1.5%	1.7%
9.5%	1.0%	1.4%	1.7%	1.9%	2.2%
10.0%	1.9%	2.3%	2.6%	2.8%	3.1%

Planet Fitness, Inc.
Sensitivity Analysis
($ in thousands, fiscal year ending December 31)

Enterprise Value

CC	Exit Multiple				
	9.5x	**10.0x**	**10.5x**	**11.0x**	**11.5x**
8.0%	9251891.203	9616805.032	9981718.86	10346632.69	10711546.52
8.5%	9441857.904	9815334.22	10188810.54	10562286.85	10935763.17
9.0%	9441857.904	9815334.22	**$10,188,811**	10562286.85	10935763.17
9.5%	9251891.203	9616805.032	9981718.86	10346632.69	10711546.52
10.0%	8886786.096	9235270.969	9583755.842	9932240.714	10280725.59

Implied Equity Value

CC	Exit Multiple				
	9.5x	**10.0x**	**10.5x**	**11.0x**	**11.5x**
8.0%	6969181.203	7334095.032	7699008.86	8063922.689	8428836.518
8.5%	7159147.904	7532624.22	7906100.535	8279576.851	8653053.167
9.0%	7159147.904	7532624.22	**$7,906,101**	8279576.851	8653053.167
9.5%	6969181.203	7334095.032	7699008.86	8063922.689	8428836.518
10.0%	6604076.096	6952560.969	7301045.842	7649530.714	7998015.587

Implied Perpetuity Growth Rate

CC	Exit Multiple				
	9.5x	**10.0x**	**10.5x**	**11.0x**	**11.5x**
8.0%	1.0%	1.4%	1.7%	1.9%	2.2%
8.5%	0.6%	0.9%	1.2%	1.5%	1.7%
9.0%	0.6%	0.9%	**1.2%**	1.5%	1.7%
9.5%	1.0%	1.4%	1.7%	1.9%	2.2%
10.0%	1.9%	2.3%	2.6%	2.8%	3.1%

Implied Enterprise Value / LTM EBITDA

CC	Exit Multiple				
	6.5x	**7.0x**	**10.5x**	**11.0x**	**11.5x**
8.0%	14.5x	15.2x	20.5x	21.2x	22.0x
8.5%	14.8x	15.5x	20.9x	21.7x	22.4x
9.0%	14.8x	15.5x	**20.9x**	21.7x	22.4x
9.5%	14.5x	15.2x	20.5x	21.2x	22.0x
10.0%	13.9x	14.7x	19.7x	20.4x	21.1x

PV of Terminal Value % of Enterprise Value

CC	Exit Multiple				
	9.5x	**10.0x**	**10.5x**	**11.0x**	**11.5x**
8.0%	74.9%	75.8%	76.7%	77.5%	78.3%
8.5%	75.1%	76.0%	76.9%	77.7%	78.5%
9.0%	75.1%	76.0%	**76.9%**	77.7%	78.5%
9.5%	74.9%	75.8%	76.7%	77.5%	78.3%
10.0%	74.4%	75.4%	76.3%	77.1%	77.9%

Planet Fitness, Inc.
Working Capital Projections
($ in thousands, fiscal year ending december 31)

	Historical Period				Projection Period				
	2021	**2022**	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**
Sales	$587,023.0	$936,772.0	$1,071,326.0	$1,181,654.0	$1,299,819.4	$1,423,302.2	$1,551,399.4	$1,687,922.6	$1,836,459.8
Cost of Goods Sold	170,158.0	285,538.0	323,714.0	369,516.0	409,443.1	448,340.2	488,690.8	531,695.6	578,484.8
Just Operating	15,137.0	5,081.0	10,379.0	1,326.0					
Current Assets									
Accounts Receivable	27,257.0	46,242.0	41,890.0	77,145.0	66,616.0	72,944.5	79,509.5	86,506.3	94,118.9
Inventories	1,155.0	5,266.0	4,677.0	6,146.0	-	-	-	-	-
Prepaid Expenses and Other	12,869.0	11,078.0	13,842.0	21,499.0	18,600.4	20,367.5	22,200.5	24,154.2	26,279.7
Total Current Assets	**$41,281.0**	**$62,586.0**	**$60,409.0**	**$104,790.0**	**$85,216.4**	**$93,311.9**	**$101,710.0**	**$110,660.5**	**$120,398.6**
Current Liabilities									
Accounts Payable	27,892.0	20,578.0	23,788.0	32,887.0	20,303.9	22,232.8	24,233.7	26,366.3	28,686.5
Accrued Liabilities	51,714.0	66,993.0	66,299.0	67,895.0	83,188.4	91,091.3	99,289.6	108,027.0	117,533.4
Other Current Liabilities	30,851.0	50,510.0	39,607.0	41,546.0	54,592.4	59,778.7	65,158.8	70,892.7	77,131.3
Total Current Liabilities	**$110,457.0**	**$138,081.0**	**$129,694.0**	**$142,328.0**	**$158,084.7**	**$173,102.8**	**$188,682.1**	**$205,286.1**	**$223,351.2**
Net Working Capital	**($69,176.0)**	**($75,495.0)**	**($69,285.0)**	**($37,538.0)**	**($72,868.4)**	**($79,790.9)**	**($86,972.0)**	**($94,625.6)**	**($102,952.6)**
% sales	*(11.8%)*	*(8.1%)*	*(6.5%)*	*(3.2%)*	*(5.6%)*	*(5.6%)*	*(5.6%)*	*(5.6%)*	*(5.6%)*
(Increase) / Decrease in NWC		**$6,319.0**	**($6,210.0)**	**($31,747.0)**	**$35,330.4**	**$6,922.5**	**$7,181.2**	**$7,653.5**	**$8,327.1**

Assumptions

	2021	2022	2023	2024	2025	2026	2027	2028	2029
Current Assets									
Days Sales Outstanding	16.9	18.0	14.3	23.8	18.7	18.7	18.7	18.7	18.7
Days Inventory Held	2.5	6.7	5.3	6.1	-	-	-	-	-
Prepaids and Other CA (% of sales)	2.2%	1.2%	1.3%	1.8%	1.4%	1.4%	1.4%	1.4%	1.4%
Current Liabilities									
Days Payable Outstanding	59.8	26.3	26.8	32.5	18.1	18.1	18.1	18.1	18.1
Accrued Liabilities (% of sales)	8.8%	7.2%	6.2%	5.7%	6.4%	6.4%	6.4%	6.4%	6.4%
Other Current Liabilities (% of sales)	5.3%	5.4%	3.7%	3.5%	4.2%	4.2%	4.2%	4.2%	4.2%

Planet Fitness, Inc.
Weighted Average Cost of Capital Analysis
($ in thousands)

WACC Calculation

Target Capital Structure	
Debt-to-Total Capitalization	25.51%
Equity-to-Total Capitalization	74.49%
Cost of Debt	
Cost-of-Debt	3.88%
Tax Rate	27.70%
After-tax Cost of Debt	**2.81%**
Cost of Equity	
Risk-free Rate (1)	4.67%
Market Risk Premium (2)	4.46%
Levered Beta	1.35
Size Premium (3)	0.50%
Cost of Equity	**11.17%**
WACC	**9.04%**

Comparable Companies Unlevered Beta

Company	Predicted Levered Beta (4)	Market Value of Debt	Market Value of Equity	Debt/ Equity	Marginal Tax Rate	Unlevered Beta
Xponential Fitness	1.41	$ 379,623.00	$ 291,551.01	1.30	27.70%	0.73
Life Time Group	1.68	$ 1,535,741.00	$ 6,380,000.00	0.24	27.70%	1.43
Mean	**1.55**			**77.14%**		**1.08**
Median	**1.55**			**77.14%**		**1.08**

ValueCo Relevered Beta

	Mean Unlevered Beta	Target Debt/ Equity	Target Marginal Tax Rate	Relevered Beta
Relevered Beta	1.08	34.24%	27.70%	**1.35**

WACC Sensitivity Analysis

Pre-tax Cost of Debt

...-Total ...ization	2.9%	3.4%	3.9%	4.4%	4.9%
5.5%	9.7%	9.7%	9.7%	9.7%	9.8%
15.5%	10.2%	10.2%	10.2%	10.2%	10.1%
25.5%	10.2%	10.2%	**10.2%**	10.2%	10.1%
35.5%	9.7%	9.7%	9.7%	9.7%	9.8%
45.5%	8.9%	8.8%	8.8%	8.9%	9.0%

(1) Interpolated yield on 20-year U.S. Treasury, sourced from US Treasury
(2) Tax rate obtained from 10k
(3) Mid-cap Decile size premium based on market capitalization, per Ibbotson
(4) MRP Sourced from Damodaran

	WACC			
	Share Price	90.65	pitchbook	https://my.pitchbook.com/gs/all
	Shares Outstanding	82983165.00	pitchbook	https://my.pitchbook.com/gs/all
(in thousands)	Market Cap	7522423.907		
	Equity to total	74.49%		
	Debt to total	25.51%		
	Interest Expense	100,037	pitchbook	https://my.pitchbook.com/gs/all
	Total Debt	2,575,853		
	Cost of Debt	3.88%	RFR	*Daily Treasury rates | U.S. Department of the Treasury*. (2025, December 23). U.S. Department of The Treasury. https://home.treasury.gov/resource-center/data-chart-center/interest-rates/TextView?type=daily_treasury_yield_curve&field_tdr_date_value=202602
		4.85%	MRP	*Damodaran online: Home page for Aswath Damodaran*. (n.d.). https://pages.stern.nyu.edu/~adamodar/

	2024	2023	2022	2021	
Total Current Debt & Capital Lease Obligation	**22,500**	**20,750**	**20,750**	**17,500**	pitchbook
Total Long Term Debt and Capital Lease Obligation	**2,553,353**	**2,344,463**	**2,319,974**	**1,937,955**	pitchbook
Total Debt	2,575,853	2,365,213	2,340,724	1,955,455	

Xponential Fitness				
Predicted levered beta		1.41	Yahoo Finance. (n.d.-b). Yahoo Finance. Retrieved February 15, 2026, from https://finance.yahoo.com/quote/XPOF/key-statistics/	
Market Value of Equity	$	291,900.00	pitchbook	https://my.pitchbook.com/gs/all
Total Current Debt & Capital Lease Obligation (FY2024)	$	14,023.00	pitchbook	https://my.pitchbook.com/gs/all
Total Long Term Debt and Capital Lease Obligation (FY2024)	$	365,600.00	pitchbook	https://my.pitchbook.com/gs/all
Total Debt (FY2024)	$	379,623.00		
EV/EBITDA		9.19		
Life Time Group				
Predicted levered beta		1.68	Yahoo Finance. (n.d.). Yahoo Finance. Retrieved February 15, 2026, from https://finance.yahoo.com/quote/LTH/key-statistics/	
Market Value of Equity	$	6,410,000.00	pitchbook	https://my.pitchbook.com/gs/all
Total Current Debt & Capital Lease Obligation (FY2024)	$	22,584.00	pitchbook	https://my.pitchbook.com/gs/all
Total Long Term Debt and Capital Lease Obligation (FY2024)		$1,513,157.00	pitchbook	https://my.pitchbook.com/gs/all
Total Debt (FY2024)	$	1,535,741.00		
EV/EBITDA		13.5		
The BeachBody Company				
Predicted levered beta		1.1	Yahoo Finance. (n.d.-g). Yahoo Finance. Retrieved February 15, 2026, from https://finance.yahoo.com/quote/BODI/key-statistics/	
Market Value of Equity	$	62,800.00	(we didnt take this because it was not reliable)	
Current Portion of Term Loan	$	9,500.00		
Long Term Loan	$	9,668.00		
Lease Debt	$	3,311.00		
Total Debt (FY2024)	$	22,479.00		
EV/EBITDA				
Peloton Interactive				
Predicted levered beta		2.44	Yahoo Finance. (n.d.-g). Yahoo Finance. Retrieved February 15, 2026, from https://finance.yahoo.com/quote/PTON/key-statistics/	
Market Value of Equity	$	3,540,000	(we didnt take this because fiscal year was scattered and mismatched)	
Current Portion of Term Loan				
Long Term Loan				
Lease Debt				
Total Debt (FY2024)	$	2,078,700		
EV/EBITDA				

Assumptions Page 1 - Income Statement and Cash Flow Statement

		Projection Period									
		Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Year 8	Year 9	Year 10
		2025	2026	2027	2028	2029	2030	2031	2032	2033	2034
Income Statement Assumptions											
Sales (% growth)		10.0%	9.5%	9.0%	8.8%	8.8%	8.8%	8.8%	8.8%	8.8%	8.8%
Base	1	10.0%	9.5%	9.0%	8.8%	8.8%	8.8%	8.8%	8.8%	8.8%	8.8%
Upside	2	12.3%	11.8%	11.2%	11.0%	11.0%	11.0%	11.0%	11.0%	11.0%	11.0%
Downside	3	6.5%	6.0%	5.5%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%	5.3%
Cost of Goods Sold (% sales)		31.5%	31.5%	31.5%	31.5%	31.5%	31.5%	31.5%	31.5%	31.5%	31.5%
Base	1	31.5%	31.5%	31.5%	31.5%	31.5%	31.5%	31.5%	31.5%	31.5%	31.5%
Upside	2	30.5%	30.5%	30.5%	30.5%	30.5%	30.5%	30.5%	30.5%	30.5%	30.5%
Downside	3	32.5%	32.5%	32.5%	32.5%	32.5%	32.5%	32.5%	32.5%	32.5%	32.5%
SG&A (% sales)		10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%
Base	1	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%
Upside	2	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%
Downside	3	11.0%	11.0%	11.0%	11.0%	11.0%	11.0%	11.0%	11.0%	11.0%	11.0%
Depreciation & Amortization (% sales)		13.6%	13.6%	13.6%	13.6%	13.6%	13.6%	13.6%	13.6%	13.6%	13.6%
Base	1	13.6%	13.6%	13.6%	13.6%	13.6%	13.6%	13.6%	13.6%	13.6%	13.6%
Upside	2	13.9%	13.9%	13.9%	13.9%	13.9%	13.9%	13.9%	13.9%	13.9%	13.9%
Downside	3	13.0%	13.0%	13.0%	13.0%	13.0%	13.0%	13.0%	13.0%	13.0%	13.0%
Cash Flow Statement Assumptions											
Capital Expenditures (% of sales)		11.7%	11.1%	10.5%	9.9%	9.4%	9.4%	9.4%	9.4%	9.4%	9.4%
Base	1	11.7%	11.1%	10.5%	9.9%	9.4%	9.4%	9.4%	9.4%	9.4%	9.4%
Upside	2	13.8%	12.8%	12.0%	11.2%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%
Downside	3	9.7%	9.4%	9.1%	8.8%	8.5%	8.5%	8.5%	8.5%	8.5%	8.5%

SALES GROWTH ASSUMPTIONS Source: Planet Fitness, Inc. (2025). Form 10-K for the fiscal year ended December 31, 2024. U.S. Securities and Exchange Commission.

	2022	2023	2024	Trend
Sales (% growth)	59.58%	14.36%	10.30%	↘ Slowing down

For the Base Scenario:
1. Company guidance: Expected to open 900 additional clubs, including more than 500 over the next three years Source: Planet Fitness 10-K 2024, p. 4
- 500 clubs / 3 years = 167 clubs/year (average) 2024 base: 2,722 clubs 167 / 2,722 = 6.1% unit growth potential
2. Historical growth: 12.3% CAGR (2021-2023) (Calculation based on Planet Fitness Income Statement PitchBook)
3.US Health & Fitness Club Market is expected to grow at a CAGR of 8.8% from 2024 to 2030 (Grand View Research, 2024, https://www.grandviewresearch.com/industry-analysis/us-health-fitness-club-market)

Year	Growth	
2025	10.00%	
2026	9.50%	Gradual moderation toward industry rate
2027	9.00%	Converging to industry
2028 to 2034	8.80%	Aligned with industry expectetions of CAGR (8.8%)

For Upside Scenario: Strong Economic Growth
1.I search the GDP for the next years in FRED (https://fred.stlouisfed.org/series/GDPPOT#) and calculate the expected growth per year. And i use this growth to imagine one best scenario possible where the company follow the GDP Growth percentage (GDP in another sheet)
2. Historical Correlation: During 2021-2022 economic recovery, PLNT grew 14%+ (Planet Fitness 10-K, 2022-2023)
3. Accelerated Execution. In strong economy, franchisees accelerate openings Changing the number of open clubs per year: 200 clubs/year vs 167 base case. Exist the possibility of 7.4% unit growth vs 6.1%

Year	Growth
2025	12.30%
2026	11.79%
2027	11.22%
2028 to 2034	10.96%

For Downside Scenario:
For this scenario, I compared the years 2019 with 2020, where we had a strong economic recession. Sources: (PitchBook https://my.pitchbook.com/profile/55520-74/company/financials/INCOME_STATEMENT)
PLNT demonstrated resilience but growth slowed materially vs pre-pandemic trends.
1. Company guidance of 500+ clubs assumes normal economic conditions. In recession, franchisees delay expansion plans.
Assumption: 100 clubs/year vs 167 base case → 3.7% unit growth vs 6.1%

Year	Growth	
2025	6.50%	-3.5pp adjustment represents material but realistic downside scenario without assuming complete market collapse. PLNT's value positioning provides relative resilience vs premium competitors.
2026	6.00%	
2027	5.50%	
2028 to 2034	5.30%	

COGS ASSUMPTIONS Source: Planet Fitness, Inc. (2025). Form 10-K for the fiscal year ended December 31, 2024. U.S. Securities and Exchange Commission.

	2022	2023	2024	Trend
COGS % Sales	30.50%	30.20%	31.30%	↗ Increasing

For the Base Scenario:
In the Last 3 years the COGS (% of Sales) have increased an average of -1.1pp from 2023 to 2024.
In the 10K of 2024, PLNT have declared "higher margin equipment sales related to an updated equipment mix as a result of the adoption of the franchise growth model"
Because of that we assume that continuation of recent trend with modest inflation

2025 to 2034 31.50%

For the Upside Scenario:
Because of your expectations in Sales Growth and thinging about the business of the company that have a portion of sales in equipments
the assumption are the company will continue shift to higher-margin equipment package so less 1pp in the COGS

2025 to 2034 30.50%

For the Downside Scenario:
Because of your expectations in recessions, input cost inflation (materials, freight) and the franchisees delay club openings (less equipment sales) one bigger COGS

2025 to 2034 32.50%

SG&A (% of Sales) ASSUMPTIONS Source: Planet Fitness, Inc. (2025). Form 10-K for the fiscal year ended December 31, 2024. U.S. Securities and Exchange Commission.

	2022	2023	2024	Trend
SG&A % Sales	12.30%	11.70%	10.90%	↘ Improving

For the Base Scenario:
As the company say in the 10K "Increase primarily attributable to higher consulting costs from strategic initiatives and CEO transition payroll costs" (Planet Fitness, 2025, Results of Operations, p.53)
Based on the last years improvement we can see one clear trend: -0.6 to -0.8pp annual
For 2025 the company will not have the cost with the CEO transition costs that will reduce more the SG&A
And with our assumption to growth in sales we assume that for the SG&A forecast will be:

2025 to 2034 10.00%

For the Upside Scenario:
In upside revenue scenario (12.3% vs 10% base), SG&A leverage accelerates.
Source: (Analyst estimate based on operating leverage)

2025 to 2034 9.50%

For the Downside Scenario:
Revenue grows only 6.5% vs 10% base case. Fixed SG&A components (rent, base salaries) spread over smaller revenue increase.
Salary inflation continues (3-4%) even in recession.
(Conservative assumption based on fixed cost structure analysis)

2025 to 2034 11.00%

D&A (% of Sales) ASSUMPTIONS Source: Planet Fitness, Inc. (2025). Form 10-K for the fiscal year ended December 31, 2024. U.S. Securities and Exchange Commission.

	2022	2023	2024	Trend
D&A % Sales	13.20%	13.90%	13.60%	→ Stable

For the Base Scenario:
As the company say in the 10K "This increase was primarily attributable to new clubs opened and acquired since January 1, 2023." (Planet Fitness, 2025, Results of Operations, p.53)
Linkage to Capex: D&A follows Capex with ~3-5 year lag. In 2024 Capex: $155M (13.1% of sales). If Capex stable at ~13-14% of sales, D&A should stabilize around 13.5%. Source: (Planet Fitness 10-K, 2024, Cash Flow Statement, p. 55)

2025 to 2034 13.57% Avg of the last three years

For the Upside Scenario:
If GDP grows and demand increases, the company needs to invest in new factories, IT, or fleets. This new CAPEX will generate new depreciation lines.
Therefore, the optimistic revenue scenario is usually accompanied by a higher D&A in the future. We are assuming more clubs, so more Capex and more future D&A
In 2024

2025 to 2034 13.90% the same as the highest in the last 3 years

For the Downside Scenario:
D&A remains elevated in 2025 (reflects 2024 Capex), then declines as low Capex (9.7%)

2025 to 2034 13.00%

Capital Expenditures (% of sales) ASSUMPTIONS Source: Planet Fitness, Inc. (2025). Form 10-K for the fiscal year ended December 31, 2024. U.S. Securities and Exchange Commission.

	2022	2023	2024	Trend
Capex to Sales	10.68%	12.69%	13.12%	↗ Growing up
			Higher capital expenditures primarily from new corporate-owned clubs	

In 2024 $515.3 million sales attributable to our corporate-owned clubs. Of the PNLT 2,722 clubs, 277 are corporate-owned.
In 2023 $475.8 million sales attributable to our corporate-owned stores. Of our 2,575 stores, 256 are corporate-owned.
So in 2022 to 2023, they create 18 stores (+7.69%) (the according of the 2024 10K, p.47). In 2023 to 2024 they create 21 corporate-owned stores (+8.2%)
In the capital Expenditure table. Source: Planet Fitness 10-K, 2024, Investing activities, p. 55 and p.56 and Planet Fitness 10-K, 2023, Investing activities, p. 55 and p.56

Capex Last 3 Years

Components	2022	2023	2024	
New clubs	$40.8M	$52.6M	$65.4M	
Existing clubs	$43.3M	$59.6M	$66.4M	
IT systems	$15.8M	$23.6M	$22.2M	
Corporate/other	$ 0.2M	$ 0.2M	$ 1.1M	
TOTAL	$100.1M	$136.0M	$155.1M	
% of Sales	10.70%	12.70%	13.10%	+2.4pp

Cost New Clubs		per new club	
2022	$40.8M / 14 clul	$ 2.91	Millions
2023	$52.6M / 18 clul	$ 2.92	Millions
2024	$65.4M / 21 clul	$ 3.11	Millions

Existing Clubs			
2022	$43.3M		
2023	$59.6M / 234	$ 0.25	Millions
2024	$66.4M / 256	$ 0.26	Millions

For the Base Scenario:
We are assuming that the company will create 20 new corporate clubs per year.
Per club Cost we are assuming 3M.
Existing Club we are assuming 250k or 0.25 M
The rest lines we assume that will be the same as 2024

Year	New Clubs (#)	New clubs	Existing clubs (#)	Existing clubs	IT systems	Corporate/c	Capex	Revenue	% Capex
2024	21	65.4	256	66.4	22.2	1.1	$ 155.10	$ 1,181.70	13.1%
2025	20	60	277	69.25	22.2	1.1	$ 152.55	$ 1,299.87	11.7%
2026	20	60	297	74.25	22.2	1.1	$ 157.55	$ 1,423.36	11.1%
2027	20	60	317	79.25	22.2	1.1	$ 162.55	$ 1,551.46	10.5%
2028	20	60	337	84.25	22.2	1.1	$ 167.55	$ 1,687.99	9.9%
2029	20	60	357	89.25	22.2	1.1	$ 172.55	$ 1,836.53	9.4%

For the Upside Scenario:
We are assuming that the company will create 30 new corporate clubs per year.
Per club Cost we are assuming 3M.
Existing Club we are assuming 250k or 0.25 M
The rest lines we assume that will be the same as 2024

Year	New Clubs (#)	New clubs	Existing clubs (#)	Existing clubs	IT systems	Corporate/c	Capex	Revenue	% Capex
2024	21	65.4	256	66.4	22.2	1.1	$ 155.10	$ 1,181.70	13.1%
2025	30	90	277	69.25	22.2	1.1	$ 182.55	$ 1,327.09	13.8%
2026	30	90	307	76.75	22.2	1.1	$ 190.05	$ 1,483.50	12.8%
2027	30	90	337	84.25	22.2	1.1	$ 197.55	$ 1,649.94	12.0%
2028	30	90	367	91.75	22.2	1.1	$ 205.05	$ 1,830.72	11.2%
2029	30	90	397	99.25	22.2	1.1	$ 212.55	$ 2,031.31	10.5%

For the Downside Scenario:
We are assuming that the company will create 10 new corporate clubs per year.
Per club Cost we are assuming 3M.
Existing Club we are assuming 200k or 0.20 M.
The rest lines we assume that will be the same as 2024

Year	New Clubs (#)	New clubs	Existing clubs (#)	Existing clubs	IT systems	Corporate/c	Capex	Revenue	% Capex
2024	21	65.4	256	66.4	22.2	1.1	$ 155.10	$ 1,181.70	13.1%
2025	10	30	277	69.25	22.2	1.1	$ 122.55	$ 1,258.51	9.7%
2026	10	30	287	71.75	22.2	1.1	$ 125.05	$ 1,334.02	9.4%
2027	10	30	297	74.25	22.2	1.1	$ 127.55	$ 1,407.39	9.1%
2028	10	30	307	76.75	22.2	1.1	$ 130.05	$ 1,481.98	8.8%
2029	10	30	317	79.25	22.2	1.1	$ 132.55	$ 1,560.53	8.5%

Planet Fitness, Inc.

FRED Graph Observations
Federal Reserve Economic Data, Federal Reserve Bank of St. Louis
Link: https://fred.stlouisfed.org
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File Created: 2026-02-17 1:34 pm CST
Data Updated: 2025-03-17
GDPPOT Real Potential Gross Domestic Product, Billions of Chained 2017 Dollars, Annual, Not Seasonally Adjusted

observation_date	GDPPOT	Growth
2024-01-01	22915.665	
2025-01-01	23443.525	0.023
2026-01-01	23979.4575	0.0229
2027-01-01	24511.6425	0.0222
2028-01-01	25040.3275	0.0216
2029-01-01	25565.52	0.021
2030-01-01	26080.0525	0.0201
2031-01-01	26585.7975	0.0194
2032-01-01	27086.5875	0.0188
2033-01-01	27582.27	0.0183
2034-01-01	28078.165	0.018
2035-01-01	28572.4375	0.0176

Assumptions Page 2 - Balance Sheet

		Projection Period									
		Year 1 2025	Year 2 2026	Year 3 2027	Year 4 2028	Year 5 2029	Year 6 2030	Year 7 2031	Year 8 2032	Year 9 2033	Year 10 2034
Current Assets											
Days Sales Outstanding (DSO)		18.7	18.7	18.7	18.7	18.7	18.7	18.7	18.7	18.7	18.7
Base	1	18.7	18.7	18.7	18.7	18.7	18.7	18.7	18.7	18.7	18.7
Upside	2	18.0	17.8	17.5	17.2	17.0	16.8	16.7	16.6	16.5	16.5
Downside	3	20.0	20.5	21.0	21.5	22.0	22.3	22.6	22.8	23.0	23.0
Days Inventory Held (DIH)		-	-	-	-	-	-	-	-	-	-
Base	1	0	-	-	-	-	-	-	-	-	-
Upside	2	0	-	-	-	-	-	-	-	-	-
Downside	3	0	-	-	-	-	-	-	-	-	-
Prepaid and Other Current Assets (% of sales)		1.4%	1.4%	1.4%	1.4%	1.4%	1.4%	1.4%	1.4%	1.4%	1.4%
Base	1	1.43%	1.43%	1.43%	1.43%	1.43%	1.4%	1.43%	1.43%	1.43%	1.43%
Upside	2	1.35%	1.32%	1.30%	1.28%	1.26%	1.2%	1.22%	1.21%	1.20%	1.20%
Downside	3	1.5%	1.55%	1.58%	1.62%	1.65%	1.6%	1.68%	1.69%	1.70%	1.70%
Current Liabilities											
Days Payable Outstanding (DPO)		18.1	18.1	18.1	18.1	18.1	18.1	18.1	18.1	18.1	18.1
Base	1	18.1	18.1	18.1	18.1	18.1	18.1	18.1	18.1	18.1	18.1
Upside	2	19.0	19.5	20.0	20.5	21.0	21.3	21.6	21.8	22.0	22.0
Downside	3	17.0	16.5	16.0	15.7	15.5	15.3	15.2	15.1	15.0	15.0
Accrued Liabilities (% of sales)		6.40%	6.4%	6.4%	6.4%	6.4%	6.4%	6.4%	6.4%	6.4%	6.4%
Base	1	6.40%	6.4%	6.4%	6.4%	6.4%	6.4%	6.4%	6.4%	6.4%	6.4%
Upside	2	6.60%	6.6%	6.7%	6.7%	6.7%	6.7%	6.8%	6.8%	6.8%	6.8%
Downside	3	6.20%	6.1%	6.0%	6.0%	5.9%	5.9%	5.8%	5.8%	5.8%	5.8%
Other Current Liabilities (% of sales)		4.20%	4.2%	4.2%	4.2%	4.2%	4.2%	4.2%	4.2%	4.2%	4.2%
Base	1	4.20%	4.2%	4.2%	4.2%	4.2%	4.2%	4.2%	4.2%	4.2%	4.2%
Upside	2	4.30%	4.3%	4.4%	4.4%	4.4%	4.4%	4.5%	4.5%	4.5%	4.5%
Downside	3	4.00%	3.9%	3.9%	3.8%	3.8%	3.8%	3.7%	3.7%	3.7%	3.7%

A) Summary table

Metric	FY2024	FY2023	FY2022	Avg	Used for
DSO	23.8295	14.27189	18.01754	18.70631206	AS2 Base 2025–2029
DPO	21.18417	16.90081	16.23158	18.11	AS2 Base 2025–2029
Prepaid %	0.018194	0.01292	0.011826	0.01431	AS2 Base 2025–2029
Accrued %	0.057458	0.061885	0.071515	0.06362	AS2 Base 2025–2029
Other CL %	0.035159	0.03697	0.053919	0.04202	AS2 Base 2025–2029

Notes

FY2022–FY2024 averages computed from PitchBook financial statements (Planet Fitness, downloaded 17-Feb-2026).

Formulas: DSO=AR/Revenue*365; DPO=AP/COGS*365; % items=BS line item/Revenue.

C) Scenario table (linked to AS2 inputs)

Metric	Base 2025	Base 2034	Upside 2025	Upside 2034	Downside 2025	Downside 2034
DSO	18.706	18.7	18	16.5	20	23
DPO	18.1	18.1	19	22	17	15
Prepaid	0.0143	0.0143	1.4%	0.012	0.015	0.017
Accrued	0.064	0.064	0.066	0.068	0.062	0.058
Other CL	0.042	0.042	0.043	0.045	0.04	0.037

B)Base case rationale (why Base is flat 2025-2034)

Base (flat):

We use the FY2022–FY2024 average for a proxy for steady-state working capital efficiency. Year-to-year fluctuations are mainly driven by timing effects, such as the timing of equipment sales, changes in other assets and prepaids, movements in accounts payable and accrued expenses, and shift in deferred revenue. This interpretation is consistent with the FY2024 10-K discussion of operating cash flow, which highlights changes in accounts receivable, other current assets (including prepaids), accounts payable and accrued expenses, and deferred revenue as key working capital drivers. (Planet Fitness, Inc., 2025, Form 10-K, p. 55).
In External, broader market research suggests that DSO and DPO can change in a big scale over time, and that DSO in particular is an important driver of working capital levels. This supports our approach of setting a normalized Base case and then adjusting Upside and Downside scenarios around that assumptions.(PwC, 2024; The Hackett Group, 2024).

DSO

Definition: (A/R ÷ Revenue) × 365

Base (flat): Set to FY22–FY24 average (≈18.7d) to represent steady-state collection efficiency; single-year DSO is timing-driven.

10-K linkage: Accounts receivable is influenced by equipment sales/placement activity; the 2024 working capital cash outflow was driven in part by an increase in accounts receivable due to higher equipment sales to existing franchisee-owned clubs.
(Planet Fitness, Inc., 2025, Form 10-K, p. 55)

Historical anchor FY22–FY24 averages computed from PitchBook financial statements (downloaded 17-Feb-2026). (PitchBook Data, Inc., 2026).

Scenario logic / inputs: upside: gradual improvement to 16.5d by 2034 (scale + process efficiency)
Downside: deterioration to 23.0d by 2034 (slower collections under stress).
Collections efficiency (DSO) is a key driver of working capital and could worsen or improve depending on payment behavior and process discipline; we therefore flex DSO modestly around the Base in scenarios. (PwC, 2024).

DPO

Definition: A/P ÷ COGS) × 365

Base (flat): FY22–24 avg = 18.1d

10-K linkage: The impact of working capital changes was partially offset by an increase in accounts payable and accrued expenses, mainly driven by payables associated with equipment orders.
(Planet Fitness, Inc., 2025, Form 10-K, Operating activities discussion, p.55

Scenario logic / inputs: On the positive side, accounts payable payment timing is expected to gradually improve as equipment ordering activities expand. On the negative side, payment timing is expected to become tighter under stress conditions.
(Planet Fitness, Inc., 2025, Form 10-K, p. 55)

Historical anchor FY22–FY24 averages are calculated based on financial statements obtained from PitchBook (downloaded February 17, 2026) (PitchBook Data, Inc., 2026).

Payables performance may tighten in more stressed environments and improve through proactive supplier management strategies. Accordingly, we adjust DPO in our scenarios, while keeping the changes relatively moderate (The Hackett Group, 2024).

Prepaid & Other CA (% sales)

Definition: Prepaid & Other CA ÷ Sales

Base (flat): FY22–24 avg = 1.43%

10-K linkage: Cash outflows for working capital were also caused primarily by increases in other assets and other current assets, mainly due to other receivables and general prepaid expenses.
(Planet Fitness, Inc., 2025, Form 10-K, p. 55)

Scenario logic / inputs: Base flat at 1.4%; Upside trends down to 1.2%; Downside trends up to 1.7%.

Historical anchor : FY22–FY24 averages computed from PitchBook financial statements (downloaded 17-Feb-2026). (PitchBook Data, Inc., 2026).

Accrued Liabilities (% sales)

Definition: Accrued Liabilities / Sales

Base (flat): FY22–24 avg = 6.36%

10-K linkage: Accounts payable and accrued expenses increased primarily from payables related to equipment orders, providing a partial offset to working capital cash outflow.
(Planet Fitness, Inc., 2025, Form 10-K, p. 55)

Scenario logic / inputs: Base flat at 6.4%; Upside up to ~6.8%; Downside down to ~5.8%.

Historical anchor FY22–FY24 averages computed from PitchBook financial statements (downloaded 17-Feb-2026). (PitchBook Data, Inc., 2026).

Other Current Liabilities (% sales)

Definition: Other CL ÷ Sales

Base (flat): FY22–24 avg = 4.20%

10-K linkage: Deferred revenue increased mainly from increased annual billings revenue.
(Planet Fitness, Inc., 2025, Form 10-K, p. 55)

Historical anchor FY22–FY24 averages computed from PitchBook financial statements (downloaded 17-Feb-2026). (PitchBook Data, Inc., 2026).

Scenario logic / inputs: Base flat at 4.2%; Upside up to ~4.5%; Downside down to ~3.7%.

DSO

Notes:

Planet Fitness operates mainly as a franchisor and membership-based service provider. Its core revenues are generated from royalty income, franchise-related fees, and membership dues rather than from the sale of inventory-based products.

As a result, the company carries almost no meaningful inventory on its balance sheet, and changes in inventory do not represent a material driver of working capital. Therefore, this analysis assumes Days Inventory Held (DIH) of 0 days across the Base, Upside, and Downside scenarios throughout the forecast period.

D) Metric cards (narrative + key endpoints)

Card 1 — Cash conversion (DSO/DPO)

By 2034, the upside case assumes better cash conversion than the base case. DSO declines from 18.7 to 16.5 days and DPO increases from 18.1 to 22.0 days, reflecting faster collections and slightly more favorable supplier terms.
In the downside case, cash conversion worsens: DSO rises to 23.0 days and DPO falls to 15.0 days. This results in slower collections and tighter payment timing under more stressed conditions. These directional assumptions are consistent with the company's discussion in the 2024 Form 10-K, which highlights accounts receivable (including equipment sales timing) and accounts payable/accrued expenses (including equipment-related payables) as key working capital drivers (Planet Fitness, Inc., 2025, Form 10-K, p. 55).

Historical baselines are anchored to FY2022–FY2024 averages calculated from PitchBook financial statements (PitchBook Data, Inc., 2026).

Metric	Base (2034)	Upside(2034)	Downside (2034)
DSO (days)	18.7	16.5	23
DPO (days)	18.1	22	15

Card 2 —Balance-sheet ratios (% of sales)

By 2034, the upside case could be assumed by stable improvement in working-capital timing relative to the base case. Prepaid and Other Current Assets decline from 1.4% to 1.2% of sales, while Accrued Liabilities increase from 6.4% to 6.8% and Other Current Liabilities increase from 4.2% to 4.5% of sales. This will affect in by slightly more favorable timing in prepaids and a stronger buildup of current liabilities.

In the downside case, we assumed that moderate pressure on working capital. Prepaids rise to 1.7% of sales, while Accrued Liabilities decline to 5.8% and Other Current Liabilities decline to 3.7%, reflecting less favorable prepaid timing and weaker current liability accumulation.

This approach is consistent with the FY2024 Form 10-K discussion of operating cash flow, which notes that increases in other assets/current assets (including prepaid expenses) contributed to working-capital cash outflows, partially offset by increases in accounts payable, accrued expenses, and deferred revenue from annual billings (Planet Fitness, Inc., 2025, Form 10-K, p. 55).

The percent-of-sales assumptions are anchored to FY2022–FY2024 historical averages calculated from PitchBook financial statement data (PitchBook Data, Inc., 2026).

Metric	Base (2034)	Upside(2034)	Downside (2034)
Prepaid (% sales)	0.0143	0.012	0.017
Accrued (% sales)	0.064	0.068	0.058
Other CL (% sales)	0.042	0.045	0.037

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